

CEFPPC: Food Processing and Preservation Capacity Support

DRAFT FOR REVIEW | SCHEME | D018

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The Creation/Expansion of Food Processing and Preservation Capacities (CEFPPC) scheme supports the creation or expansion of food processing and preservation capacity through a grant towards eligible project expenditure. It can make a meaningful difference to a processing investment, but the grant calculation starts with the approved equipment and technical civil work, not the total amount you plan to spend.

The Ministry of Food Processing Industries issued revised guidelines on 22 January 2025. Applications are invited through an Expression of Interest, or EOI. A published guideline does not itself open applications, and the 2025 invitation should not be treated as a current application window.

What kind of project fits?

The scheme covers specified food-processing activities, including food grains, dairy, meat, fish, fruit and vegetables, edible oils, spices and ready-to-eat products. The proposal must create processing or preservation capacity, or demonstrate the required increase in an existing operation. A standalone storage or transport business does not qualify merely because it handles food.

Individuals and several forms of business or producer organisation can apply within the notified conditions. Projects may be located inside or outside a recognised food park or agro-processing cluster. The product, process and applicant category must still match the guideline. Farming expenditure and a general warehouse cannot be folded into a processing proposal to make them eligible.

How the grant is calculated

The January 2025 guideline provides assistance at 35% of eligible project cost in general areas and 50% in difficult areas and for qualifying SC/ST, FPO and SHG projects, subject to a maximum grant of ₹5 crore. Category treatment has documentary requirements. For example, the SC/ST route requires at least 51% ownership and conditions on maintaining that stake.

Eligible cost includes approved plant and machinery, specified utilities and technical civil work. Land, general civil works, working capital, consultancy, taxes and second-hand equipment are among the excluded items. Applicable cost norms also constrain the assessed amount. An invoice in the project budget is therefore not automatically a grant-bearing cost.

Minimum eligible project cost is ₹3 crore for general-area proposals and ₹1 crore for the specified difficult-area and SC/ST proposals. Minimum project size, promoter contribution, net worth and term loan are separate tests. The relevant category should be checked against each test individually.

Funding and purchase timing matter

General-area applicants ordinarily need term finance of at least 20% of total project cost and the prescribed promoter contribution. Specified categories have different thresholds. A bank's appraisal note is required; a stamped project report alone is insufficient. The guideline also ties the eligible term-loan sanction date to the EOI.

Most critically, the 2025 rules exclude expenditure on eligible components incurred before the Ministry issues its approval letter. Ordering or paying for machinery early can therefore affect the claim even where the machinery itself is eligible. Bring the proposed purchasing schedule into the eligibility assessment before making commitments.

Prepare a proposal that can be checked

The application should connect raw-material availability, processing capacity, machinery, utilities, sales assumptions and finance. Assemble the land title or qualifying lease, process flow, itemised quotations, technical civil estimates, net-worth evidence, ownership records, loan sanction and bank appraisal. An expansion needs a clear existing-versus-proposed capacity statement and evidence of the operating unit.

Submit through the prescribed SAMPADA process during an applicable EOI. Technical appraisal and selection determine approval; submission does not create an entitlement. After approval, maintain component-wise invoices, banking records, contribution evidence and implementation progress so that release requests can be reconciled with the sanctioned project. Grant release also remains subject to available funds.

Read the [January 2025 CEFPPC guidelines](#). For shared infrastructure serving multiple processing businesses, compare the separate [Agro-Processing Cluster scheme](#).

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

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1. January 2025 CEFPPC guidelines

https://www.mofpi.gov.in/sites/default/files/20250122205611_3.pdf